

Reparations mean a powerful Germany.

If we were to expect Germany to pay recurring reparations, whether in the form of money or goods, we would be forced at the very beginning to start a rehabilitation and reconstruction program for the German economy. For instance, we would have to supply her with transportation equipment, public utility repairs, food for her working population, machinery for heavy industry damaged by bombing, reconstruction of housing and industrial raw materials. No matter how the program would be dressed up, we would, in effect be doing for Germany what we expect to do for the liberated areas of Europe but perhaps on an even greater scale, because of Germany's more advanced industrialization.

When reparation deliveries cease Germany will be left with a more powerful economy and a larger share of foreign markets than she had in the Thirties.

Therefore, a program of large-scale reparations must be rejected for the following reasons:

1. Politically it would be very difficult to persuade people of liberated Europe and of the other United Nations, including the U.S., to accept a program of immediate reconstruction of the German economy.
2. If liberated Europe becomes economically dependent on Germany for reparations, her economic dependence cannot be broken off when reparations cease. The rest of Europe would continue to be dependent on Germany as a source of supply and as a market. These economic ties would also mean political ties. Germany would be right back where she was in the Thirties when she was able to dominate the rest of Europe economically through her industrial power and to exert her economic power to achieve political dominations.
3. An economically powerful Germany ipso facto constitutes a military threat to world security.
4. The payment of reparations is directly competitive with the export industries of the U.S., the U.K. and France and would create political dissensions among the United Nations.
 - (a) Whatever the recipient countries get in reparations they will not buy from the Allied industrial powers in the post-war period.